

Group Project: Building a VSM Model for Harmony Inside

Part 1: System 1 & System 2 Complete Tables

Table 1: System 1 in relation to the Environment and Management

System 1 –the business name	Characteristics of System 1	Environment	Management
IBS Gastro Health Full Service	Provide nutritional therapy, stress relief treatment, online courses, cookbooks, IBS-specialized food products, and one-to-one dietitian online consultation; transform from offline clinical service to digital membership online service	Customers: global IBS patients, people with gastrointestinal discomfort in Sweden Competitors: other dietitian studios, online health course platforms, gastrointestinal health supplement brands Channels: primary healthcare centers, Google search, magazines, TV and media Constraints: Swedish medical privacy law, insurance policy, cross-border legal regulations	Top management (co-founders): define business direction, membership pricing, company expansion strategy Key decisions: business digital transformation, membership system design, IT platform upgrade, overseas market expansion, dietitian recruitment rules

Table 2: System 1 units

Unit name	What the Unit does	Unit Environment	Unit Management
Online Course Unit	Develop and launch IBS online courses, operate course content, provide knowledge teaching for paid members	Competing online health platforms, users' demand for interactive learning	Course manager: control update schedule, content quality review, pricing and basic user support
E-commerce & Product Unit	Run online web shop, sell IBS cookbooks and specialized food products, manage 3-level monthly subscription membership, connect with payment service providers	Swedish e-commerce market, Klarna payment service, logistics suppliers, WooCommerce ecosystem	E-commerce manager: product listing, inventory control, membership package setting, promotion and after-sales rules
Dietitian Consultation Unit	Arrange online booking, provide one-to-one video consultation, personalized diet plan, follow-up support and	Shortage of professional IBS dietitians in Sweden, medical privacy compliance, third-	Consultation manager: dietitian scheduling, booking rules, service standard and privacy compliance control

Unit name	What the Unit does	Unit Environment	Unit Management
	patient health record management	party video conference tools	

Table 3: Coordination of the units of System 1

System service name	For Unit 1 Online Course	For Unit 2 E-commerce	For Unit 3 Consultation
User Data Synchronization	Sync course student data to e-commerce and consultation for membership conversion	Sync product/member buyer data to course and consultation	Sync patient consultation data to course and e-commerce for personalized recommendation
Schedule & Timeline Coordination	Align course update schedule with e-commerce marketing activities	Arrange promotion campaigns matching new course launch	Avoid dietitian booking time conflict with major course live events
Unified Rule Coordination	Unify refund, after-sales and disclaimer rules	Unify product return and membership cancellation rules	Unify consultation cancellation appointment and privacy protection rules

Table 4: Coordination of System 1, System 2 of the whole company

System 2 service name	What it does to coordinate the business
Cross-unit User Conversion Coordination	Unify user data across course, e-commerce and consultation; build closed-loop user conversion from student to member to paid consultation
Unified Business Process Coordination	Standardize customer service wording, privacy protection, refund policy and disclaimer across all business units
IT System Interface Coordination	Coordinate data interconnection among WordPress, WooCommerce, booking system and patient record system to ensure smooth workflow

Table 5a: Unit 1's sub-units (Online Course Unit)

Sub-unit name	What the Sub-unit does	Sub-unit Environment	Sub-unit Management
Course Content Production Team	Create course videos and articles, organize professional IBS knowledge, update curriculum content	Industry knowledge iteration, competitor course content benchmark, user learning demand	Content supervisor: professional standard audit, content update planning
Course Operation & Launch Team	Publish courses on WordPress, manage page layout, user	WordPress plugin ecosystem, platform version upgrade, user	Operation supervisor: platform maintenance, user experience

Sub-unit name	What the Sub-unit does	Sub-unit Environment	Sub-unit Management
	access and basic Q&A support	experience requirement	optimization, course on/off control

Table 5b: Unit 2's sub-units (E-commerce & Product Unit)

Sub-unit name	What the Sub-unit does	Sub-unit Environment	Sub-unit Management
Web Shop Operation Team	Manage WooCommerce store layout, product release, order processing and customer after-service	Swedish online consumption habit, invoice payment preference	Store supervisor: order workflow control and after-sales policy formulation
Membership Subscription Team	Maintain 3-tier membership system, handle monthly subscription payment, membership benefit distribution and user retention	Competitor membership packages, user renewal willingness, auto-subscription system rules	Membership supervisor: benefit design, user hierarchical operation and renewal strategy

Part 2: System 3 & System 4 Complete Tables

Table 1: Resources that System 3 allocates to System 1 units

Resource name	Unit 1 Online Course	Unit 2 E-commerce	Unit 3 Consultation
Professional content creation budget	x		
IT platform maintenance manpower & cost	x	x	x
Marketing and promotion budget	x	x	x
Full-time / part-time dietitian manpower			x
Supply chain and warehousing resource		x	

Table 2: Transmission of instructions from System 3 to the units of System 1

Type of instruction	For all units	For Unit 1 Online Course	For Unit 2 E-commerce	For Unit 3 Consultation
Service Quality Compliance	Unify service etiquette, medical privacy protection	Course content must follow clinical IBS	Product promotion cannot claim medical treatment	Follow Swedish medical privacy law and complete

Type of instruction	For all units	For Unit 1 Online Course	For Unit 2 E-commerce	For Unit 3 Consultation
Instruction	and professional compliance standard	professional standards	effect, only lifestyle adjustment	patient records strictly
Pricing & Package Instruction	Implement company unified pricing policy	Fixed course price and limited-time discount rules	3-tier membership pricing and monthly subscription standard	One-to-one consultation fee and member exclusive discount rule
Annual Business Target Instruction	Annual user growth and revenue target	Student growth target and regular content update frequency	New member acquisition and product sales target	Consultation booking volume and dietitian service capacity target

Table 3: Information reported back to system 3 by System 1 units

Information to be reported	Unit 1 Online Course	Unit 2 E-commerce	Unit 3 Consultation
User growth & registration data	x	x	x
Revenue, order & membership renewal data	x	x	
User complaint & after-sales issues	x	x	x
Manpower schedule & dietitian workload			x
IT system failure & platform operation problems	x	x	x

Table 4: Monitoring activities as part of System 3*

Monitoring activities/information needed	Unit 1 Online Course	Unit 2 E-commerce	Unit 3 Consultation
Service quality random inspection	x	x	x
Revenue & budget consumption monitoring	x	x	
User retention & churn monitoring	x	x	x
Legal & compliance risk monitoring	x	x	x

Table 5: Environment scanning for System 4

Part of the environment to scan	Why it is needed	What we will do with the discovery	The reason for a change to be implemented	Possible conflict(s) between System 3 and System 4
Global IBS	Understand	Develop multi-	Expand user	System 4 advocates

Part of the environment to scan	Why it is needed	What we will do with the discovery	The reason for a change to be implemented	Possible conflict(s) between System 3 and System 4
market & patient demand trend	global IBS population scale and unmet service needs	language courses and launch services in UK & Germany	base, increase revenue and give full play to professional advantages	rapid overseas expansion; System 3 worries about cross-border legal risk and high labor cost, prefers conservative strategy
Swedish healthcare system & primary care cooperation	Obtain stable patient referral and potential medical insurance cooperation	Design referral partnership plan and insurance member package solution	Gain official endorsement and stable customer source	System 4 wants active cooperation with medical system; System 3 considers the process complicated with no short-term return and refuses resource investment
Competitors & other health service providers	Benchmark competitors' service model, membership pricing and online products	Optimize 3-tier membership benefits and launch automated personalized menu service	Maintain market competitiveness and prevent user loss	System 4 proposes frequent service iteration; System 3 prefers stable existing workflow and avoids high operation cost from frequent changes
IT technology innovation (AI automation & patient record system)	Leverage AI for diet diary analysis and automatic personalized menu recommendation	Build structured patient archive system, auto diet suggestion and intelligent Q&A	Reduce dietitian manual workload and improve service scalability	System 4 suggests investing in customized IT system development; System 3 insists on continuing using standard WordPress plugins to avoid extra R&D cost

Part 3: System 5 Complete Tables

Structurally coupled elements for the company Harmony Inside:

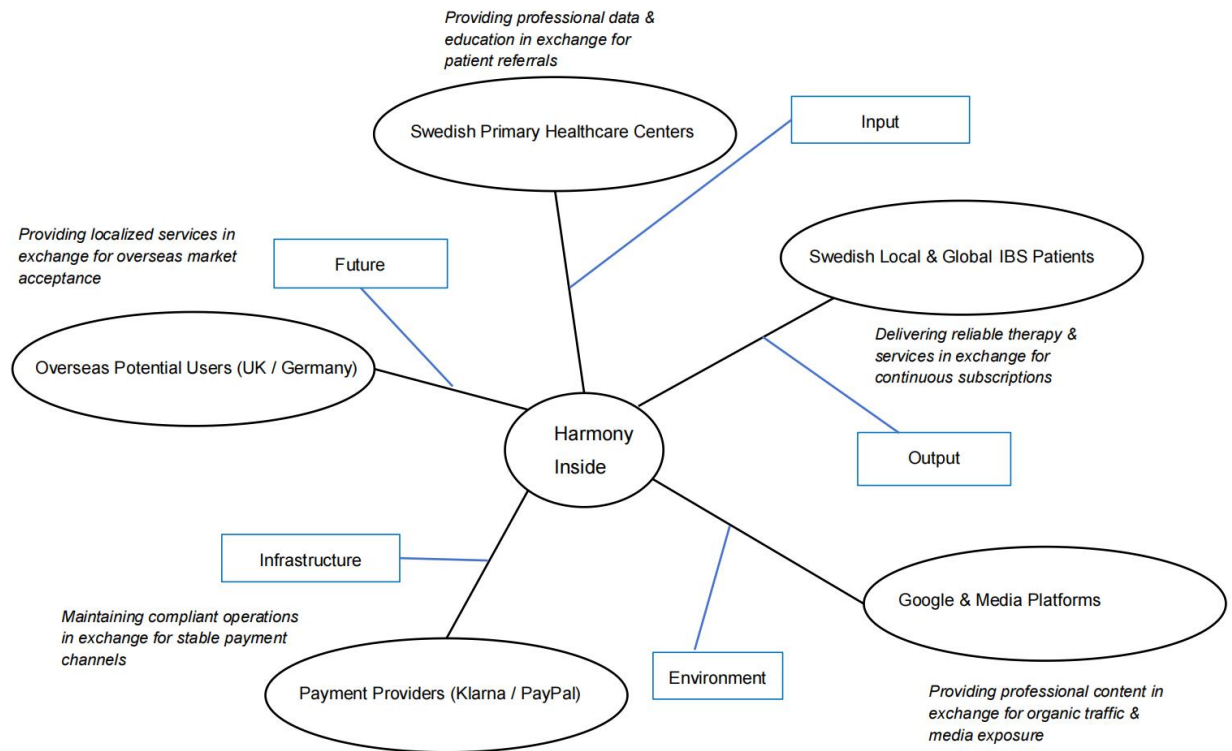


Table 1: Goals for identity management

Structurally coupled element	What behavior we want from it	What we can give in return	How to achieve this goal
Swedish Primary Healthcare Centers	Continue recommending our service to IBS patients and recognize our professional therapy	Provide professional IBS rehabilitation data, free popular science content and professional training for grassroots medical staff	Initiate active communication, provide clinical qualification certification and jointly hold health popular science activities
Google & Media Platforms	Sustain organic traffic and free media exposure	Supply professional IBS articles, real user cases and publishable media materials	Optimize Google SEO keywords, maintain long-term media relationship and output regular professional content

Structurally coupled element	What behavior we want from it	What we can give in return	How to achieve this goal
Swedish Local & Global IBS Patients	Continue purchasing courses/membership/consultation, maintain repurchase and word-of-mouth recommendation	Provide professional reliable nutrition therapy, strict privacy protection and cost-effective membership service	Improve service quality, build member community, automatic follow-up and continuous optimization based on user feedback
Payment Providers (Klarna / PayPal)	Stable payment channel and support invoice & credit card payment	Sustained transaction volume and long-term loyal partnership	Maintain legal compliance operation, settle payment on time and adopt standard platform modules
Overseas Potential Users (UK / Germany)	Accept our online service and pay for subscription	Provide localized language courses and legal-compliant membership service	Localize course content, adopt small-scale pilot launch and simplify overseas access process

Table 2: Managing conflicts between System 3 and System 4

Possible conflict(s) between System 3 and System 4	What to consider when handling the conflict(s)	What decision(s) may be consistent with our identity and why
1. System 4 pursues rapid overseas expansion and customized IT investment; System 3 prefers stable operation and cost control	1. Company identity: professional IBS health service with steady long-term development 2. Startup budget is limited and blind large investment should be avoided 3. Adopt small-scale pilot instead of full-	System 5 Decision: Keep current WordPress framework, launch small-scale pilot in the UK first; postpone customized system R&D, iterate based on standard modules. It balances stable operation and future layout, matching the brand identity of professional and steady digital transformation

Possible conflict(s) between System 3 and System 4	What to consider when handling the conflict(s)	What decision(s) may be consistent with our identity and why
	scale expansion at once	
2. System 4 wants frequent service iteration and AI automation; System 3 worries about workflow chaos, compliance risk and management pressure	1. Core identity: professional nutrition medical service, compliance and quality come before rapid innovation 2. Automation improves efficiency but cannot sacrifice professionalism and privacy safety	System 5 Decision: Gradually launch automated menu and diet diary templates; all auto content must be reviewed by dietitians. System 3 controls the pace of process changes, balancing innovation and internal stability & compliance
3. System 4 advocates cooperation with medical insurance & insurance companies; System 3 thinks the procedure is complicated with no short-term profit	1. Long-term positioning: integrate into Swedish local health ecosystem rather than pure retail service 2. Short-term high input but long-term stable customer source and brand endorsement	System 5 Decision: Set up a small special team for preliminary research and light cooperation pilot, without large-scale immediate investment. It conforms to the identity of professional reliable local health ecosystem partner

Full VSM Modeling Logic

1. Sort out the company's core business, customers and external environment from the interview.
2. Split **System 1**: divide core front-line businesses into units and sub-units corresponding to actual work.
3. Build **System 2**: design coordination mechanisms to solve data isolation, schedule conflict and inconsistent rules among units.
4. Design **System 3**: allocate resources, release management instructions, collect operation reports and monitor daily business.
5. Design **System 4**: scan external market, competitors, policies and technology to discover future opportunities and improvement plans.
6. Design **System 5**: define company identity & value, manage external coupling partners, mediate conflicts between conservative System 3 and innovative System 4.
7. Fill all standard VSM tables one by one with real business facts from the Harmony Inside interview case.